AXIS DIRECT

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Top Conviction Ideas: FMCG

Suhanee Shome

FMCG Sector: Q3FY26 Review

Signs of a Broad-based Demand Recovery

- **Early signs of revival in consumption sentiment:** Most staple companies under coverage have highlighted an initial recovery across both urban and rural markets. Management commentary suggests that demand has gradually strengthened, aided by easing inflation—particularly in food—over the past few months. Improving consumer confidence indicates a turnaround in overall consumption trends. Going ahead, volume growth is expected to gain traction. With stabilizing demand and a supportive macro backdrop and benefits from GST-related changes, management anticipates FY27 to outpace FY26, with growth continuing to remain the key strategic focus.

- **Gross Margin Remains Mixed; EBITDA Margins in a 'Wait & Watch' Mode:** Gross margins remain mixed; however, we expect a gradual improvement going forward. Further, an increase in ad-spends to regain market share has slowed down EBITDA margin expansion, though it will benefit in the longer run.

FMCG Sector: Outlook

How Have Companies Performed in Q3FY26?

- **Most of the FMCG topline growth delivered Healthy Topline Numbers in Q3,** supported by volumes. With consumption trends stabilizing, early signs of recovery were witnessed across urban and rural markets.
- Companies have highlighted that **volume recovery is likely to improve further in the coming quarters,** and a pick-up is expected on account of recent GST 2.0 reforms, easing inflation, interest rate cut, and above-normal monsoon. This is expected to boost consumption going forward.
- On the **Gross Margins front, companies have delivered mixed performance; however, we expect sequential recovery in the upcoming quarters** as key raw material prices – crude, packing, and palm remained stable.

FMCG Sector Outlook

What Makes the FMCG Sector a Good Bet?

- **Structural Growth Trajectory:** Indian FMCG companies are on a structural growth path, with several categories like shampoos and premium detergents still under-penetrated and underserved. Increasing rural penetration further strengthens the sector's growth potential. Additionally, government tax incentives, potential rate cuts, and the recent GST rate reduction are expected to further spur consumption.

- **Premiumisation Agenda Driving Overall Growth:** With rising purchasing power, Indian consumers are increasingly opting for premium and branded products. This premiumisation trend is expected to be a key growth driver for the FMCG sector.

- **Best-in-Class Return Ratios (ROCE, ROE):** In a volatile, uncertain, complex, and ambiguous (VUCA) environment, the FMCG sector stands out for delivering best-in-class return ratios such as ROCE, ROE, and dividend yield, ensuring long-term capital protection.

Short & Medium-term Outlook

Short term

Gradual Volume Recovery:
Early signs of demand recovery visible with improvement in consumer sentiments.

Delayed Margin Recovery:
Gross margins remain mixed, but an increase in Ad-spends has delayed overall EBITDA margin expansion

Domestic Consumption Play:
Better returns in this volatile environment.

Rural Demand to Pick Up:
Increase in government spending;
Consumer price inflation remains stable
Favourable monsoon and GST 2.0 rate reduction

Medium Term

Key Monitorables – Urban Recovery; Margins Trajectory; Competitive Intensity

Top Conviction Ideas

Stock	Reco.	TP*	Recommendation Rationale
Nestle India	BUY	Rs 1,500*	✓ **Stellar Performance:** Nestlé reported an 18.5% YoY growth in revenue, supported by its strongest volume expansion in nearly five years. Performance was driven by double-digit growth in confectionery and MAGGI noodles, along with robust growth in beverages and prepared dishes, while the Milk & Nutrition portfolio delivered mid-single-digit growth. Management attributed the strong quarter to capacity additions, sustained brand investments, market recovery, and benefits from GST-related changes. EBITDA grew by ~11% YoY; however, margins contracted by 148 bps to 21.3%, impacted by gross margin pressure of 68 bps due to higher input costs and elevated operating expenses associated with ongoing expansion initiatives. ✓ **GST Reforms – A Structural Positive:** The GST rate reduction to 5% on packaged foods, dairy products, noodles, pasta, sauces, and ketchup is expected to enhance affordability and stimulate discretionary demand. Nestlé, with its wide presence in these categories, stands to be a key beneficiary, particularly in noodles and cooking aids. ✓ **Outlook:** Nestlé remains well-positioned for long-term growth, underpinned by its dominant domestic franchise, continued innovation, distribution-led market penetration, capacity expansion, and increasing out-of-home consumption. While volatile commodity prices, especially in coffee, cocoa, and edible oils, may keep near-term margins under pressure, the expected moderation in milk prices alongside its strong pricing power and efficiency initiatives should partly offset cost headwinds.

Note: The Target price is based on our Q3FY26 Result Update. We remain positive on the stock's long-term prospects and recommend 'BUY on Dips'.

Top Conviction Ideas

Stock	Reco.	TP*	Recommendation Rationale
Britannia Industries	BUY	Rs 7,170*	✓ **Resilient Performance amid Transitional Headwinds:** Britannia reported a healthy Q3FY26 performance, with revenue rising 9.5% YoY, supported by benign input costs, steady traction in core biscuits and adjacent categories, and continued supply chain efficiencies. While the biscuit category continues to recalibrate price points following the GST revision, growth accelerated to 12% in November–December. This was driven by sustained media investments and portfolio expansion through innovations such as the 50-50 Dipped range, veg cake variants, and Doodh Marie Gold, enabling wider consumer reach and improved category momentum. ✓ **Outlook:** Most FMCG players like Britannia are seeing early demand recovery across urban and rural markets, supported by stable input costs and improving margins. The recent GST cuts on key food items should enhance affordability, lift consumer sentiment, and drive stronger traction in daily-use and low-unit-price SKUs. Demand recovery is expected to accelerate, positioning branded FMCG and discretionary categories for healthier volume growth in the near term.

Note: The Target price is based on our Q3FY26 Result Update. We remain positive on the stock's long-term prospects and recommend 'BUY on Dips'.

Top Conviction Ideas

Stock	Reco.	TP*	Recommendation Rationale
DOMS Industries	BUY	Rs 3,000*	✓ **The company has been executing strategic initiatives over the past few years, which are expected to drive growth in the coming years. Key initiatives include:** 1. Managing end-to-end operations to enhance efficiency while maintaining high-quality standards. The new 44-acre greenfield facility will further accelerate growth. 2. Expanding beyond the small pencil segment into the larger pens category, broadening the product portfolio. Additionally, entering fast-growing segments such as bags, toys, and diapers will provide an incremental growth boost. 3. Significant potential for distribution expansion, with DOMS currently reaching 1.5 Lc outlets. The company has scope to scale up to ~3-3.5 Lc outlets, particularly in the underpenetrated east and south markets and smaller towns in India. 4. The strategic partnership with FILA, enabling DOMS to expand its global footprint while leveraging FILA's R&D capabilities, offering a long-term competitive edge.

Note: The Target price is based on our Q3FY26 Result Update. We remain positive on the stock's long-term prospects and recommend 'BUY on Dips'.

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Compliance Officer Details: Name – Mr Rajiv Kejriwal, Tel No. – 022-68555574, Email id – compliance.officer@axisdirect.in.;

Registered Office Address – Axis Securities Limited, Unit No.002, Building- A, Agastya Corporate Park, Piramal Realty, Kamani Junction, Kurla (W), Mumbai – 400070.

Administrative office address: Axis Securities Limited, Aurum Q Parć, Q2 Building, Unit No. 1001, 10th Floor, Level – 6, Plot No. 4/1 TTC, Thane – Belapur Road, Ghansoli, Navi Mumbai, Pin Code – 400710.

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Date: 2026.02.19 08:19:44 +05'30'

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